

**UNITED STATES OF AMERICA  
BEFORE THE  
FEDERAL ENERGY REGULATORY COMMISSION**

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| <b>Interconnection of Large Loads to the<br/>Interstate Transmission System</b> | )<br>)<br>)<br>) | <b>Docket No. RM26-4-000</b> |
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**COMMENTS OF DUKE ENERGY CORPORATION**

Duke Energy Corporation, on behalf of its public utility affiliates (collectively, “Duke Energy”), submits these initial comments in response to the Notice Inviting Comments and Advanced Notice of Proposed Rulemaking (“ANOPR”) issued by the Federal Energy Regulatory Commission (“FERC” or “Commission”) on October 27, 2025.<sup>1</sup> The ANOPR proposes potential reforms to standardize the process for interconnecting large loads to the transmission system and sets forth fourteen proposed principles for such reforms. The proposed reforms are targeted at ensuring the timely, orderly, and non-discriminatory interconnection of large loads, particularly artificial intelligence (AI) data centers, which are seeking to connect to the transmission system at an unprecedented pace and volume.<sup>2</sup>

Reliable and affordable energy is a critical factor in capturing economic development opportunities and securing a competitive advantage for the United States in the race for AI innovation. Across the communities it serves, Duke Energy has been working to balance the protection of existing customers with the speed to power that

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<sup>1</sup> Notice Inviting Comments, *Interconnection of Large Loads to the Interstate Transmission System*, Docket No. RM26-4-000.

<sup>2</sup> *Secretary of Energy’s Direction that the Federal Energy Regulatory Commission Initiate Rulemaking Procedures and Proposal Regarding the Interconnection of Large Loads Pursuant to the Secretary’s Authority Under Section 403 of the Department of Energy Organization Act*, Letter dated Oct. 23, 2025.

large load customers expect. Particularly in the Southeast where interest from large load customers has been the greatest, Duke Energy has been successful in adapting existing processes to meet the moment, signing agreements to serve approximately 3 gigawatts (GWs) of large load data center customers in 2025 alone.

As the Commission considers the ANOPR's principles, Duke Energy encourages the Commission to fully evaluate what is working and what is not when it comes to interconnection of large loads. Although interconnection study processes are often perceived as barriers to speed, several other factors impact the timeline to connect and reliably serve large load customers, including supply chains, siting issues, fuel supply, and available generation. While Duke Energy continues to successfully manage these other factors to provide speed to power through creative solutions, these factors remain critical contributors to timely interconnection and service to large load customers industry-wide and are not solvable through standardized large load interconnection procedures and agreements. To the extent FERC can identify specific and concrete problems within its statutory authority, FERC should narrowly tailor any proposed reforms to solving those specific problems. To attempt through this rulemaking proceeding to solve for theoretical problems, edge case hypotheticals, or problems beyond FERC's statutory purview will introduce a quagmire of jurisdictional issues and disputes, thorny implementation details, unintended consequences, and lengthy, litigious compliance processes that would impede more timely interconnection of large load customers. Any reforms that FERC pursues must be catalysts, not quicksand. Duke Energy offers these comments to help the Commission avoid the quicksand.

To start, FERC should look to support existing processes that are working to efficiently and reliably interconnect large load customers today. To the extent FERC identifies reforms that would improve those processes and proposes new requirements, those standardized requirements should apply only where customers take unbundled transmission service. Imposing federal requirements on bundled retail service will create legal and operational uncertainty and conflicts, which will cause delays and thwart the goals of the ANOPR.

Should FERC decide to adopt standardized large load interconnection requirements for customers taking unbundled transmission service, standardized study deposits, readiness requirements, and withdrawal penalties will help to deter speculative requests. However, the effort to standardize large load study procedures will require the Commission to address and resolve numerous other implementation details and foreseeable issues from the interaction of a new standardized large load interconnection study process and existing generator interconnection and transmission study processes. FERC should consider whether the time and resources required for that standardization effort will in fact promote the speed to interconnection that is needed to meet this moment.

If FERC elects to adopt standardized large load interconnection procedures and agreements, another way for FERC to tailor the rules is to adopt reasonable applicability criteria targeted at significantly higher megawatt (MW) loads and loads with other features that are most likely to have reliability impacts on the bulk electric system. Duke Energy recommends that, for purposes of this rulemaking, FERC define large load as new loads greater than 300 MW (but, in the alternative, no lower than 100 MW), that

require interconnection at 100 kilovolt (kV) or above. As discussed below, we also recommend FERC apply any final rule in this proceeding only to those loads with certain NERC-identified characteristics that present added reliability risks.

As discussed in Section III, the ANOPR's proposal for coordination of load and generation requests, including hybrid facilities, warrants a more thorough assessment of the significant implementation challenges and reliability implications. To start, Duke Energy recommends that hybrid facilities be defined as load and generation behind a common point of interconnection and warns that broader definitions (such as load "near" generation) would increase complexity, introduce reliability risk, and undermine the goal of timely interconnection. Duke Energy also urges FERC to ensure that transmission providers are permitted to study all load, generation, and hybrid facilities based on their full operating characteristics. However, Duke Energy is open to further evaluation of conditional, time-limited interconnection services as potential bridge solutions to accelerate large load integration without compromising grid reliability.

Lastly, in response to the ANOPR's eighth principle, instead of 100 percent direct assignment of network upgrade costs to large load customers, Duke Energy recommends a refundable up-front funding pricing methodology similar to the methodology required by Order No. 2003<sup>3</sup> for non-independent transmission providers pricing of generator network upgrade costs.

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<sup>3</sup> See *Standardization of Generator Interconnection Agreements & Procs.*, Order No. 2003, 104 FERC ¶ 61,103, at P 22 (2003) ("Order No. 2003"), *order on reh 'g*, Order No. 2003-A, 106 FERC ¶ 61,220 (2004) ("Order No. 2003-A"), *order on reh 'g*, Order No. 2003-B, 109 FERC ¶ 61,287 (2004), *order on reh 'g*, Order No. 2003-C, 111 FERC ¶ 61,401 (2005), *aff'd sub nom. Nat'l Ass'n of Regulatory Utility Commissioners v. FERC*, 475 F.3d 1277 (D.C. Cir. 2007).

Duke Energy supports the Commission’s careful consideration of these important issues and looks forward to further engagement to identify if there are meaningful reforms to help accelerate interconnection of these large loads that are critical for the future of American innovation.

**I. Any Standardized Large Load Interconnection Procedures Should Be Designed to Support Large Load Interconnection Processes That Are Working Efficiently.**

**A. In Duke Energy’s Service Territories, Existing Retail Processes Are Working to Efficiently Process Data Center Service Inquiries and Implement Solutions to Provide Service in a Timely Manner.**

Duke Energy’s franchised public utilities collectively own approximately 31,700 miles of transmission facilities, more than 55,100 MW of generation, and serve approximately 8.6 million customers in six different states—Indiana, Ohio, Kentucky, North Carolina, South Carolina, and Florida, and in both RTO/ISO and non-RTO/ISO regions. Like utilities across the country, Duke Energy has seen dramatic increases in inquiries for electric service across the regions it serves, particularly in the Southeast region. In the Southeast, where Duke Energy’s utilities continue to operate as vertically integrated utilities, customers are attracted by the utility’s ability to plan and execute on all investments needed for delivery of reliable power, from generation, transmission, and distribution. For example, in the Carolinas, Duke Energy’s pipeline of active inquiries as of October 2025 was made up of 420 projects totaling 46 GW.<sup>4</sup> While roughly a third of the 420 projects are data centers, the data center projects represent more than 85 percent, roughly 40 GW, of the total 46 GW.<sup>5</sup> Electric demand is strong in the Midwest as well,

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<sup>4</sup> *Duke Energy Carolinas, LLC, et al.*, Technical Conference Presentation Materials at 4, NCUC Docket No. E-100, Sub 208 (filed Oct. 10, 2025) *available at* <https://starw1.ncuc.gov/NCUC/ViewFile.aspx?Id=86ae7250-53a6-4b81-ad84-a70ed8b5c6f4>.

<sup>5</sup> *Id.*

where Duke Energy's utilities have successfully partnered with state legislators, regulators, and community leaders to attract large data center campuses and advanced manufacturing facilities. Through site readiness programs, Duke Energy also continues to prepare high-potential business and industrial sites for economic development investment and to coordinate with state and local governments in marketing them nationwide to companies looking to start, expand, or relocate their operations. These programs have led to billions of dollars of investment in the communities Duke Energy serves.

Duke Energy has developed a structured and disciplined approach to processing large load inquiries for electric service that balances the protection of existing customers, the economic development opportunities presented by this increased demand, and the speed to interconnection that large load customers, especially data centers, desire. For example, Duke Energy has incorporated into its retail large load interconnection process non-refundable study fees and information requirements to minimize speculative projects. Duke Energy has also adopted contracting practices for Electric Service Agreements with large loads that incorporate several protections for existing customers, including:

- Minimum contract term lengths;
- Minimum billing demand requirements;
- Termination liquidated damages or exit fees;
- Security posting requirements, related to the customer's financial obligations; and
- Refundable capital advance delivery related to the cost of interconnection facilities necessary to serve the customer site.

In addition, due to near-term resource planning sensitivities, Duke Energy has incorporated temporary curtailment provisions into new retail Electric Service Agreements to provide limited-term operational flexibility until new resources are placed into service. Working through these existing state processes and supported by

constructive state energy policies and regulations, Duke Energy has announced service agreements for data center customers totaling approximately 3 GW in just this past year. Duke Energy expects that most projects signed this year will be interconnected by 2027.

Duke Energy has also announced increases to its five-year capital plan (2026-2030), up to \$105 billion, and projects 13 GW of capacity additions to its system over the same timeframe. Duke Energy believes these goals are achievable within the current regulatory framework for load interconnection.

**B. Standardized Large Load Interconnection Procedures Should Only Apply Where Transmission Service Is Unbundled.**

Duke Energy shares the goal of timely, orderly, and non-discriminatory interconnection of large loads, and as outlined above, Duke Energy has evolved its retail interconnection processes and agreements to address the unique challenges and opportunities presented by large loads. To preserve these processes that are working efficiently and avoid delays caused by transitioning to new processes, if the Commission elects to adopt new *pro forma* large load interconnection procedures and agreements, Duke Energy strongly recommends that the Commission only apply those new procedures and agreements where transmission service is provided to customers as an unbundled product.

Consistent with its findings in Order No. 888,<sup>6</sup> where it chose not to apply its regulations to bundled retail sales, the Commission should find here that (1) it is not

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<sup>6</sup> See *Promoting Wholesale Competition Through Open Access Non-Discriminatory Transmission Servs. by Pub. Utils.; Recovery of Stranded Costs by Pub. Utils. & Transmitting Utils.*, Order No. 888, FERC Stats. & Regs. ¶ 31,036 (1996), *order on reh'g*, Order No. 888-A, FERC Stats. & Regs. ¶ 31,048, *order on reh'g*, Order No. 888-B, 81 FERC ¶ 61,248 (1997), *order on reh'g*, Order No. 888-C, 82 FERC ¶ 61,046 (1998), *aff'd in relevant part sub nom. Transmission Access Policy Study Grp. v. FERC*, 225 F.3d 667 (D.C. Cir. 2000), *aff'd sub nom. New York v. FERC*, 535 U.S. 1 (2002).

necessary to subject bundled retail service agreements to a standardized FERC process because there is no evidence that existing state processes for serving bundled retail load are failing to ensure timely, orderly, and non-discriminatory transmission access and (2) subjecting bundled retail service agreements to a standardized FERC process would raise numerous difficult legal and jurisdictional issues.<sup>7</sup>

The Electric Service Agreements described above are state-jurisdictional agreements that provide customers with a bundled retail service product. The Electric Service Agreements address the utility's commitment to provide service on an agreed upon timeline and the customer's obligation to pay for their fair share of energy, capacity, and transmission needs. As demonstrated by Duke Energy's success in securing Electric Service Agreements with large load customers, its retail large load interconnection processes are working to meet the needs of customers. The time, effort, and resources to re-design those processes to conform with standardized FERC procedures would only cause delays, confusion, and uncertainty. Mandating a switch from an exclusively state-jurisdictional process, which has a proven track record of integrating loads of all types in a holistic manner, to new processes with potentially overlapping and conflicting federal and state requirements would introduce complex legal and jurisdictional questions that would exacerbate delays and uncertainty. Unbundling of large load service agreements would raise complicated questions about whether and how federal or state regulations tied to curtailment commitments or resource adequacy affect planning and operational issues. For example, if FERC processes dictate a certain treatment of a large load's commitment to curtail to avoid transmission network upgrades that is different from a

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<sup>7</sup> See *New York v. FERC*, 535 U.S. 1, 25 (2002).

state's treatment of a large load's commitment to curtail to avoid generation capacity upgrades, the processes may be in conflict or create complicated planning and operational issues that would take time to work with FERC and state regulators to resolve, creating unnecessary delay. Today, where customers are served via bundled retail service agreements, needs of the transmission system and resource adequacy can be reconciled within one process and one bundled service agreement. To mandate all large loads be subject to FERC-jurisdictional interconnection procedures and agreements creates potential conflicts with state resource adequacy requirements, which will complicate and inevitably slow the interconnection of large load customers at this critical moment in time.

Therefore, the goals of the ANOPR to ensure timely, orderly, and non-discriminatory interconnection of large load would be best achieved by limiting the applicability of any FERC-jurisdictional *pro forma* procedures and agreements to large load customers receiving unbundled transmission service.<sup>8</sup> If FERC decides not to limit large load interconnection rules to customers receiving unbundled transmission service, then the effective date and implementation timeline for any final rule in this proceeding must account for the substantial impact such a rule would have on state regulatory processes and constructs that are founded on the utility providing a bundled retail product and the added time it would take for utilities and states to adjust to the change.

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<sup>8</sup> Absent the express exclusion of large load customers obtaining bundled retail service, the Commission should, at a minimum, allow utilities to demonstrate on compliance that existing state processes are consistent with or superior to any FERC-approved standard and grant to those utilities which satisfy that standard the ability to continue to operate according to those retail processes.

**C. Appropriately Designed, Standardized Terms Can Help Deter Speculative Projects and Ensure Timely and Orderly Interconnection.**

**1. Standardized study fees, readiness requirements, and customer information requirements can deter speculative projects that cause delays.**

Duke Energy supports the ANOPR's fourth principle that "like generating facilities, load and hybrid facilities should be subject to standardized study deposits, readiness requirements, and withdrawal penalties."<sup>9</sup> Duke Energy agrees that appropriately designed study processes and information requirements can deter speculative projects and provide transmission providers with more useful and actionable information. In its existing retail large load interconnection processes, Duke Energy has adopted non-refundable study fees, site control verification requirements, and data center customer information requirements that align with the current version of NERC's Data Center Information Collection questionnaire.<sup>10</sup> As customers progress through the study phases, customers are also required to execute reimbursement agreements and provide capital advances for the costs of facilities necessary to serve the customer site. These features of Duke Energy's existing processes have helped to mitigate speculative interconnection requests that can slow studies processes and, conversely, facilitate interconnection of ready projects.

If FERC elects to adopt *pro forma* large load interconnection procedures and agreements, Duke Energy encourages FERC to incorporate study procedures and information requirements that will similarly mitigate speculative requests. In adopting

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<sup>9</sup> ANOPR at P 21.

<sup>10</sup> See NERC Data Center Information Collection available at <https://www.nerc.com/globalassets/who-we-are/standing-committees/rstc/lmwg/data-center-information-collection-questionnaire.pdf>.

standard customer requirements, FERC should recognize, as NERC has done through its Large Load Task Force, that evaluation of these large loads' impact on reliability is evolving; therefore, the transmission provider must have the flexibility to quickly adjust its customer requirements to respond to newly identified risks and emergent needs.

Standardized interconnection terms and conditions that are limited to procedural study requirements, such as adaptable data submission requirements for customers, study deposit rules, and readiness requirements to proceed with study procedures, can help support the goal of timely and orderly large load interconnection. However, attempting to standardize further aspects of the process would inhibit necessary improvements that are identified over time and impose a one-size-fits-all approach that is not workable and may result in reduced efficiency.

**2. Numerous implementation details would need to be addressed to provide clear rules about how standardized large load interconnection studies interact with other study processes.**

Standardized interconnection procedures and agreements can support timely and orderly interconnection only if they establish clear rules for coordination between the existing study processes for generator interconnection and transmission service requests and the new large load interconnection study. Clear procedures and rules that define how transmission providers should coordinate the existing study processes are necessary to avoid disputes that introduce uncertainty and cause delays. Because standardized load interconnection study procedures would be entirely new and may have their own study requirements and timelines independent from on-going generation cluster studies, there are numerous, complex details that will need to be addressed to ensure the interconnection of large loads does not frustrate or slow the interconnection of needed generation resources, or vice versa. For example, below is a non-exhaustive list of the

types of implementation details that would need to be resolved if the Commission were to adopt a new standardized study and interconnection process for large loads:

- If large load studies are required to be conducted on a serial basis, but generator interconnection cluster studies are conducted annually, how should transmission providers align study assumptions between the two study processes to ensure appropriate network upgrades are identified and cost responsibility is appropriately assigned?
- How should material modifications to load requests be handled and how should those modifications be coordinated with generator interconnection studies and restudies that had assumed the original large load request and cost assignment?
- How should withdrawal penalty structures be adjusted to account for the impact a withdrawn load request may have on generator interconnection request(s), and vice versa?
- How will load interconnection studies interact with affected system studies and coordination required for generator interconnection studies?
- Should load interconnection studies with affected system impacts dictate the need for additional affected system studies, like the generator interconnection process?
- Should contingent facilities be identified for load interconnection studies and should such contingent facilities for load interconnections include upgrades that have been identified and assigned to prior generator interconnections?
- If a suspended generation project is responsible for a network upgrade that is also needed for a large load interconnection seeking to interconnect sooner, should the up-front cost responsibility for the upgrade be shifted to the large load customer or should the suspended generator be obligated to fund the upgrade to preserve its queue position?
- Should large load interconnections also have commercial operation requirements like generators to ensure study results of coordinated load and generation remain valid?

If FERC develops new *pro forma* large load customer interconnection procedures and agreements and, contrary to the caution above, applies them to customers taking bundled retail service, it must also clarify how those new FERC-jurisdictional study procedures interact with the existing requirements for studying transmission service requests and new Network Load of wholesale customers. This is particularly important to non-RTO regions where transmission providers, like Duke Energy's affiliates in the

Southeast, are facing not only large load customer inquiries for bundled retail service but also requests to designate new Network Loads under current Open Access Transmission Tariff (OATT) rules. Where wholesale customers are designating new Network Loads, those loads may also be for large load customers, with the same customer potentially making inquiries to both Duke Energy and Duke Energy's wholesale customer for retail service. Duke Energy has ensured that its existing retail large load interconnection processes and wholesale transmission service study process remain comparable in providing non-discriminatory transmission access to retail and wholesale customers alike. The creation of an entirely new large load interconnection process would need to be coordinated with the procedures and timelines for the existing transmission service study process in the OATT to ensure continued comparability between the processes and to not unfairly disadvantage a large load customer request under any newly-designed process compared to a large load customer receiving transmission service via a network integration transmission service request from a wholesale customer.

To achieve the goal of accelerating the large load interconnection process, any standardized rule must clearly address these and other implementation details. Duke Energy cautions that it may take several years to develop (and potentially litigate) just and reasonable rules to address these issues. In the meantime, the development and transition to those new methodologies will take time and resources away from implementing the processes that exist today and are working and evolving to meet the needs of new large load customers while maintaining reliable, affordable service for existing customers.

**3. Standardized terms for a FERC-jurisdictional large load interconnection process must be tailored to the study process and avoid conflicts with commercial terms for retail sales.**

FERC must also be cautious to avoid standardized interconnection terms and conditions that may overlap with commercial requirements which impact retail rates for power supply.<sup>11</sup> As noted above, a critical tool to protecting existing customers is the ability to implement large load retail Electric Service Agreements that include minimum contract terms, minimum billing demands, termination fees, and security requirements. In Duke Energy's experience, each large load interconnection request presents unique characteristics, load requirements, and operational considerations that require individualized assessment and planning. Utilities must continue to have the flexibility, subject to state utilities commission oversight, to adapt and tailor Electric Service Agreements to the unique needs of large load customers while also incorporating adequate customer protections and aligning terms with the specific planning and operational risks and requirements to serve large load customers, as guided by state regulatory requirements for reliability and resource adequacy. Standardized FERC-jurisdictional large load interconnection procedures are more likely to be effective at ensuring timely, orderly, and non-discriminatory interconnection if the procedures and agreements are narrowly tailored to the technical requirements governing how the load moves through the study process and avoid overlap and conflict with commercial terms of retail sales.

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<sup>11</sup> See, e.g., *Tri-State Generation and Transmission Association*, 193 FERC ¶ 61,070 at P 47 (rejecting a large load tariff that sought to dictate the terms and conditions of a retail sale, finding that "a regulation that 'specifies terms of sale at retail' would exceed the Commission's authority under the FPA").

## **II. The Size Threshold for Large Load Should be Substantially Higher and Tied to Operating Characteristics to Avoid Unintended Consequences.**

The second principle of the ANOPR proposes that large load interconnection reforms should “apply to new loads greater than 20 MW and, for hybrid facilities, where load is greater than 20 MW.”<sup>12</sup> The applicability criteria for any FERC-jurisdictional large load interconnection rules should be tailored to encompass those loads that will necessarily have significant impacts on the bulk electric system and, thus, require further study and evaluation to ensure transmission system reliability impacts are addressed. Although 20 MW was adopted by FERC as a dividing line between small and large generator interconnection requests, there is no reason to tether a new large load definition to the same threshold. The proposed 20 MW threshold is well below the size of average large load requests and would, therefore, create unintended consequences and delays for a broader set of customers.

With the objective of tailoring the threshold to those load requests most likely to have significant bulk electric system impacts, Duke Energy recommends a MW threshold of 300 MW or greater, but in no event lower than 100 MW, as well as a requirement that the load be connecting at 100 kV or above. Because large loads typically propose loads that ramp over time, the MW threshold should be measured by the large load’s final requested MW size at a single point of interconnection. In Duke Energy’s experience, the average load size of data center customers is around 500 MW; therefore, a MW threshold of 300 MW would be adequately sized to target the types of loads of interest in the ANOPR. Increasing the MW threshold would also avoid unintended consequences to

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<sup>12</sup> ANOPR at P 19.

other loads that utilities have traditionally and successfully integrated without issue. A threshold of 20 MW would capture conventional larger loads including manufacturing, commercial, and other industrial loads, which can average around 50 MW in size. Duke Energy has been successful with reliably integrating and serving such loads less than 100 MW on our system for decades. The Commission should avoid inadvertently complicating and delaying the interconnection processes for a significantly larger universe of customers than is necessary to address the narrower issue of timely and order interconnection of large data center customers.

To further mitigate the risk of unintended consequences to other conventional loads, Duke Energy recommends FERC tailor the large load definition to those loads that have particular NERC-identified characteristics that present increased reliability risks.<sup>13</sup> For example, power electronic loads and loads that do not have adequate ride-through capability can present greater risks of balancing reserve shortages, voltage instability, and frequency instability.<sup>14</sup> Narrowly tailoring the large load definition to encompass only loads that are (i) greater than 300 MW, but in no event lower than 100 MW, (ii) seeking to interconnect at 100 kV or greater, and (iii) exhibit operating characteristics identified by NERC that present added reliability risks will enable the proposed reforms to achieve timely, orderly, and non-discriminatory interconnection by avoiding unintended consequences of subjecting load that has traditionally been effectively integrated through existing processes. This recommended threshold would also ensure a more manageable

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<sup>13</sup> *NERC Large Loads Task Force White Paper*, Characteristics and Risks of Emerging Large Loads at Appendix B, issued July 2025, available at [https://www.nerc.com/globalassets/who-we-are/standing-committees/rstc/3\\_doc\\_white-paper-characteristics-and-risks-of-emerging-large-loads.pdf](https://www.nerc.com/globalassets/who-we-are/standing-committees/rstc/3_doc_white-paper-characteristics-and-risks-of-emerging-large-loads.pdf).

<sup>14</sup> *Id.*

universe of projects to evaluate under any new FERC *pro forma* large load procedures and agreements.

### **III. New Interconnection Rules and Procedures Must be Clear and Precise to Enable Timely and Orderly Interconnection.**

#### **A. Coordinating Load and Generation Studies Adds Significant Complexity.**

The third principle outlined in the ANOPR suggests that “to the extent practicable, load and hybrid facilities should be studied together with generating facilities . . . For example, siting a large load near or at the same point of interconnection as a new generating facility could reduce the network upgrades needed to interconnect only the load or only the generating facility.”<sup>15</sup>

As a general matter, Duke Energy supports the concept of a coordinated evaluation of load and generation to find optimal, cost-effective transmission planning solutions, but believes that coordination is most efficiently addressed through transmission planning processes. For example, in the Carolinas, Duke Energy has adopted a scenario-based local transmission planning process to proactively study and evaluate the potential for transmission upgrades to provide cost-effective solutions for increasing demand and new and retiring generation.<sup>16</sup> As noted above in Section I.C.2, the coordination of studying individual load requests with clustered generation interconnection requests and other transmission service requests requires significantly more consideration to address implementation details and complexities of studying the separate, but interrelated, electrical impacts of individual load and generation. Duke

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<sup>15</sup> ANOPR at P 20.

<sup>16</sup> *Duke Energy Carolinas, LLC*, 186 FERC ¶ 61,178 (2024) (approving enhancements to local transmission planning process and creation of a scenario-based process for studying Multi-Value Strategic Transmission Projects).

Energy urges the Commission to consider whether the time needed to address the complexity and details of coordinated load and generation studies will help achieve faster interconnection of large loads or whether such an effort could actually impede timely interconnections of large loads at this pivotal moment.

**B. Hybrid Facilities Must Be Defined as Load and Generation Behind a Common Point of Interconnection.**

If the Commission seeks to establish standardized procedures for coordinating load and generation studies, including for hybrid facilities, Duke Energy strongly recommends that any definition of “hybrid facilities” require that the load and generation be behind a common point of interconnection to the transmission system, although the transmission provider should be able to require metering and telemetry to separately monitor the load and generation behind the common point of interconnection.

The ANOPR appears to suggest a hybrid facility could include load “near” a new generating facility. “Nearness” of load and generation is not a technically implementable standard, and the “nearness” of load and generation does not determine the electrical impacts to the transmission system. Allowing any electrical separation between the load and generation which comprise a hybrid facility will add additional complexity to already complex study processes by introducing more permutations of how the load and generation can act independently and affect the transmission system. Therefore, permitting hybrid facilities to include load located “near” generation would work at cross-purposes to the goals of timely and orderly interconnection and introduces risk to the reliability of the bulk power system. Requiring hybrid facilities to have load and generation behind a common point of interconnection reduces operational and study complexities, facilitating more timely and orderly studies processes.

**C. Load, Generation, and Hybrid Facilities Must Be Studied in A Manner That Accurately Reflects Their Potential Impact to the Grid.**

The ANOPR's fifth principle asserts that "hybrid facilities should be studied based on the amount of injection and/or withdrawal rights requested."<sup>17</sup> For example, a hybrid facility consisting of a 500 MW load and a 600 MW generating facility may seek no withdrawal rights and 100 MW of injection rights." In short, the ANOPR proposes that studies be limited to net contractual rights to use the transmission system. Duke Energy cautions that this approach presents significant reliability risks and potential unintended consequences. Transmission providers must have the ability to study all load and generation, including hybrid facilities, in a manner that reflects the potential actual operating impacts to the grid. To do so, the transmission provider must fully understand the operating characteristics and risks of the load and generation to be studied.

Where the transmission provider can be assured that a hybrid facility has the appropriate protection equipment and controls such that the hybrid facility will not be physically able to export to the grid, that hybrid facility could be studied outside of existing generator interconnection study processes without creating significant reliability risks from unstudied operating conditions. However, if the hybrid facility will be capable of injecting power to the grid, the full export or injection capabilities of that generator must be studied as part of the existing generator interconnection process in order to ensure reliability. Likewise, the full withdrawal capability of a hybrid facility must be evaluated as part of the load interconnection process to ensure no unstudied operating conditions exist that would threaten reliability. To study only the net contractual rights of

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<sup>17</sup> ANOPR at P 22.

a hybrid facility ignores how load and generation between the common point of interconnection may act independently of each other. It is reasonable to assume that at times either the generator and/or the load will be down due to planned or forced maintenance activity. In these cases, the full impact to the grid must be studied.

It is imperative for the long-term reliability of the transmission system for the full operating impacts of load and generation to be studied and addressed via appropriate transmission upgrades. However, Duke Energy understands that many perceive those study processes as delaying the interconnection and operation of large loads. Duke Energy appreciates that there are opportunities to improve study processes to find efficiencies at every stage of the load and generator interconnection process—from the study process itself to strengthening supply chains and streamlining siting and permitting. Duke Energy also further notes that resource adequacy is as much, if not more of a concern, than transmission availability when it comes to serving large load customers. For that reason, Duke Energy recognizes that there may be opportunities to identify ‘bridge’ solutions for limited, temporary interconnection service rights without eliminating the need for full interconnection service studies that identify the need for long-term infrastructure expansion. SPP’s proposed Load Limited Resource Interconnection Service (“LLRIS”) is one formulation of such a bridge solution.<sup>18</sup> Under the LLRIS proposal, SPP would study a generating resource required for a large load outside of its existing generator interconnection process on a serial basis, but solely for the impact of the generating resources’ ability to serve the large load.<sup>19</sup> A generator

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<sup>18</sup> *Southwest Power Pool, Inc.*, Revisions to Add the High Impact Large Load Processes and Generation Assessment, Docket No. ER26-247 (filed Oct. 25, 2025).

<sup>19</sup> *Id.* at 5.

would be eligible for LLRIS for a limited, five-year term and would still be required to go through the existing generator interconnection process to obtain Network Resource Interconnection Service or Energy Resource Interconnection Service to obtain service beyond five years.<sup>20</sup>

While the SPP proposal would need to be adapted to meet the operating features of different regions of the country (e.g., where generating resources operate as a fleet to serve all load, and are not designated for specific customers), the concept of a conditional, time-limited interconnection and transmission service for a generating resource needed to support resource adequacy in light of large load additions may be worth further evaluation. Conditions should include requirements to be re-studied during the term of the conditional service to continually validate the reliable operation of the generation and load. New conditional interconnection service and associated conditional transmission service products could provide opportunities to shorten the time to interconnection without introducing unreasonable reliability risks. However, before FERC undertakes to develop rules around new conditional interconnection and transmission service products, FERC should consider the universe of customers that would, in fact, be interested in conditional service that would not guarantee them the 24/7, 99.999 percent uptime that data center customers, in Duke Energy's experience, require. In other words, is there, in fact, demand from potential data center customers for conditional service that requires standardized solutions within FERC's authority to implement?

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<sup>20</sup> *Id.*

#### **IV. Up-Front Funding of Network Upgrades Paired with Rolled-In Pricing Ensures Large Loads Pay for Their Use of the Transmission System and Recognizes System Benefits of Network Upgrades.**

The ANOPR's eighth principles proposes that "load and hybrid facilities should be responsible for 100% of the network upgrades that they are assigned through the interconnection studies."<sup>21</sup> The ANOPR also seeks comment on "whether such costs should be offset through a crediting mechanism and, if so, over how many years."<sup>22</sup>

Duke Energy encourages the Commission to re-consider this direct assignment principle and retain its repeatedly and consistently affirmed position that network upgrades are integrated transmission that provide benefits on a system-wide basis, which justifies rolled-in rate treatment.<sup>23</sup> As the ANOPR suggests, a pricing methodology similar to that required by Order No. 2003 for non-independent transmission providers would comport with the principle that network upgrades provide system benefits, while also providing a price signal to large load customers about efficient sites to locate.<sup>24</sup>

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<sup>21</sup> ANOPR at P 25.

<sup>22</sup> *Id.* (citing Order No. 2003 at P 22).

<sup>23</sup> *Otter Tail Power Co.*, Opinion No. 93, 12 FERC ¶ 61,169, at 61,420 (1980) (Given a finding that the system operates as an integrated whole, transmission costs have generally been rolled-in, absent a finding of special circumstances. The principal reason behind adoption of this methodology is that an integrated system is designed to achieve maximum efficiency and reliability at a minimum cost on a systemwide basis. Implicit in this theory is the assumption that all customers . . . receive the benefits that are inherent in such an integrated system.); *City of Anaheim*, 113 FERC ¶ 61,091 at P 35 (2005) ("It is the Commission's policy that the costs of network transmission facilities be included in transmission rates.... The fact that they are network facilities means that they are providing benefits to all network users."); *Ne. Tex. Elec. Coop.*, Opinion No. 474, 108 FERC ¶ 61,084, at P 47 (2004) ("It is still our policy, as it has been for many years, to prohibit the direct assignment of network facilities. Due to the integrated nature of the transmission network, network facilities benefit all network users. It does not matter whether the facilities were installed to meet a particular customer's request for service."); *Pac. Gas & Elec. Co.*, 106 FERC ¶ 61,144, at P 22 (2004) ("The basis of this policy is that the integrated grid is a single interconnected system serving and benefitting all transmission customers; indeed, it is the grid's interconnected nature that makes for a reliable system consistently providing for the delivery of electric energy to all customers even when particular facilities go out of service, either due to scheduled maintenance or unexpected outages. Our rolled-in pricing policy recognizes the inherent benefit of the integrated grid to customers, by spreading the costs of the integrated grid among all customers.")

<sup>24</sup> Order No. 2003-A at P 627.

Therefore, if FERC adopts standardized large load interconnection procedures after resolving the complexities outlined in Section I.C.2 above, Duke Energy recommends the adoption of large load interconnection pricing rules that would require large load customers to initially fund the network upgrade (unless the transmission provider elects to initially fund the upgrade), then require the transmission provider to credit or refund back to the large load customer the total amount paid for the required network upgrades. This pricing method would not only be consistent with Order No. 2003's approach, but it would also avoid the problem of a direct assignment approach forcing transmission owners to operate network upgrades without an opportunity to be compensated for the risks and responsibilities associated with operation and earn a return.<sup>25</sup>

While supportive of the interconnection pricing approach from Order No. 2003, Duke Energy cautions that the crediting mechanisms described in Order No. 2003—a dollar-for dollar refund against customers payments for transmission services—would be ill-suited for refunding large load customers who obtain transmission service from a competitive supplier or other intermediary and, therefore, do not receive a transmission service charge directly from the transmission provider. The Commission should permit utilities to propose on compliance a crediting mechanism that will fully refund the large load customer within a reasonable period and ensure the utility's ability to include the refunded amount of the network upgrade as rate-based assets. For example, in practice, Duke Energy has implemented Order No. 2003's crediting requirements by refunding the entire network upgrade cost upon energization of the network upgrade, then including

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<sup>25</sup> See *Ameren Servs. Co. v. FERC*, 880 F.3d 571, 580-82 (D.C. Cir. 2018).

such costs in subsequent retail rate cases and annually updated wholesale transmission formula rates.

## **V. Conclusion**

Duke Energy appreciates the opportunity to comment on these important issues, as well as the Commission's careful consideration and evaluation of the issues presented in the ANOPR. Duke Energy encourages the Commission to stay focused on reforms that are legally durable, will provide adequate protection for existing customers, will maintain the reliability and resource adequacy of the grid, and will be a catalyst for the timely, orderly, and non-discriminatory interconnection of large loads.

Sincerely,

/s/ Molly Suda

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